

Investment Portfolio Allocation Report

Total Capital: ₹1,00,000

Risk Profile: Moderate

Investment Horizon: 3–5 Years

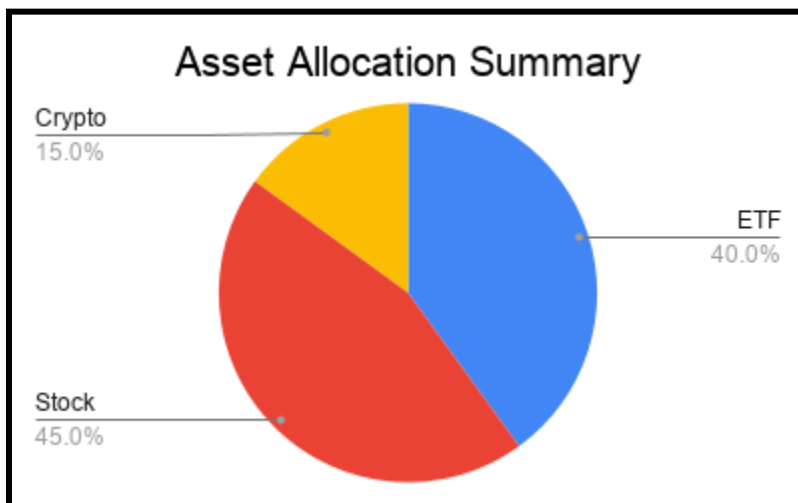
1. Executive Summary

This report outlines the strategic allocation framework for a hypothetical ₹1,00,000 investment portfolio. Designed for an investor with a **moderate risk tolerance**, the portfolio strikes a calculated balance between defensive capital preservation and aggressive wealth accumulation. By combining broad market index tracking, highly resilient blue-chip equities, and a strictly capped exposure to emerging digital assets, the portfolio is structured to comfortably outpace inflation while shielding the investor from extreme market drawdowns.

2. Asset Allocation & Core-Satellite Framework

The portfolio is constructed using a **Core-Satellite approach**. The "Core" (85%) consists of highly stable, diversified equities and exchange-traded funds (ETFs) to ensure steady, reliable compounding. The "Satellite" (15%) comprises higher-volatility cryptocurrencies to capture asymmetric upside potential without exposing the core capital to systemic risk.

- **Exchange-Traded Funds (ETFs):** 40% Allocation (₹40,000)
- **Blue-Chip Stocks:** 45% Allocation (₹45,000)
- **Cryptocurrency:** 15% Allocation (₹15,000)



3. Strategic Investment Rationale

A. Exchange-Traded Funds (40% Allocation)

- **Nippon India Nifty 50 ETF (35%):** This index fund replicates the performance of the Nifty 50, providing instant exposure to India's top 50 largest companies across various sectors. It ensures that the core of the portfolio grows in tandem with India's long-term macroeconomic growth story at an incredibly low expense ratio.
- **Nippon India Silver ETF (5%):** Commodities like precious metals serve as a vital hedge against inflation and equity market downturns. Silver provides a defensive buffer, historically maintaining a low correlation with broader stock market crashes.

B. Blue-Chip Equities (45% Allocation)

To potentially outperform the broader index, ₹15,000 was allocated evenly across three secular leaders with rock-solid balance sheets, dominant market shares, and robust competitive moats:

- **Reliance Industries Ltd. (15%):** A massive conglomerate driving India's energy, retail, and digital telecom (Jio) ecosystems.
- **HDFC Bank Ltd. (15%):** The undisputed private banking heavyweight in India, anchoring the portfolio's financial sector exposure.
- **Infosys Ltd. (15%):** A global technology services powerhouse, ensuring the portfolio benefits from structural tech-driven growth and dollar-denominated revenue hedges.

C. Cryptocurrency (15% Allocation)

Bitcoin & Ethereum: Rather than speculating on highly volatile alternative tokens, the crypto allocation is strictly limited to the two largest digital assets by market capitalization. Bitcoin acts as a digital store of value, while Ethereum provides exposure to the underlying smart-contract and decentralized finance (DeFi) infrastructure. Capping this at 15% ensures that even a severe crypto market crash cannot critically derail the main portfolio.

4. Portfolio Maintenance & Rebalancing Strategy

To maintain a true moderate risk profile, this portfolio will utilize a **semi-annual rebalancing strategy**.

Because asset classes grow at different speeds, an aggressive rally in cryptocurrency could inadvertently shift the risk profile of the entire portfolio (e.g., crypto growing to occupy 30% of the entire portfolio). Every six months, the asset weights will be audited. Profits from overperforming assets will be systematically shaved off and reallocated into underperforming sections to restore the original **40% ETF / 45% Stock / 15% Crypto** structure, locking in gains and maintaining the investor's intended risk tolerance.